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MGT211 Mid Term Preparation

Semester : Fall 2025

Theme 1 – 3

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MGT211 - Theme 1: History and Introduction of Business (Part 1)

(Covering: Evolution of Business, Industrial Revolutions, Economic Systems, and Business Environment)

1. The turning point in human history that led to agriculture and permanent settlements is known as:

a) The Stone Age
b) The Neolithic Revolution
c) The Industrial Revolution
d) The Information Age

2. Which ancient civilization is credited with the invention of writing (cuneiform) to record trade transactions?

a) Egypt
b) Indus Valley
c) Mesopotamia
d) China

3. The concept of "Xin" (trust and reputation) was a key ethical pillar in business dealings of which ancient civilization?

a) Ancient Greece
b) Ancient China
c) Mesopotamia
d) Ancient Egypt

4. Which Industrial Revolution was characterized by the invention of the Steam Engine and the rise of factories?

a) First Industrial Revolution (1760-1840)
b) Second Industrial Revolution (1870-1914)
c) Third Industrial Revolution (1960s-2000s)
d) Fourth Industrial Revolution (Present)

5. The core innovation of the Second Industrial Revolution was:

a) Steam Power
b) Electricity and Assembly Lines
c) Computers and Internet
d) Artificial Intelligence

6. Industry 4.0 (Fourth Industrial Revolution) is mainly driven by:

a) Nuclear Energy
b) Steam and Coal
c) AI, IoT, and Smart Systems
d) E-commerce websites

7. The primary objective of a business is to:

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a) Provide free services
b) Earn Profit
c) Create employment only
d) Use natural resources

8. Which of the following is NOT a factor of production?

a) Labor
b) Capital
c) Entrepreneurship
d) Inflation

9. In which economic system are basic industries (like railroads/utilities) owned by the government, but private ownership is also allowed in other sectors?

a) Capitalism
b) Socialism
c) Communism
d) Sole Proprietorship

10. An economic system where the government controls all factors of production and there is no private ownership is called:

a) Capitalism
b) Mixed Economy
c) Communism
d) Free Market

11. The phase of the Business Cycle where economic growth reaches its highest point is called:

a) Expansion
b) Trough
c) Recession
d) Peak

12. A decline in GDP that lasts for at least two consecutive quarters is known as:

a) Inflation
b) Expansion
c) Recession
d) Boom

13. "Cost-push inflation" occurs when:

a) Demand is higher than supply
b) Production costs increase, pushing up prices
c) Government prints more money
d) People stop buying goods

14. Which sector of business involves the extraction of natural resources (e.g., farming, mining)?

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a) Secondary Sector
b) Tertiary Sector
c) Primary Sector
d) Quaternary Sector

15. Manufacturing and processing (turning raw material into finished goods) belongs to which sector?

a) Primary
b) Secondary
c) Tertiary
d) Quaternary

16. Banking, education, and healthcare are examples of which business sector?

a) Primary
b) Secondary
c) Tertiary (Services)
d) Manufacturing

17. The "Internal Environment" of a business includes:

a) Political factors
b) Economic conditions
c) Employees, Managers, and Owners
d) Technology

18. According to the PESTEL analysis (or external environment), laws related to taxation and labor fall under:

a) Social factors
b) Technological factors
c) Political/Legal factors
d) Competitive factors

19. The "Barter System" failed primarily because of:

a) Lack of goods
b) Double coincidence of wants
c) Too much money in the marke
d) Government restrictions

20. Knowledge workers (Quaternary Sector) are primarily concerned with:

a) Physical labor
b) Extracting oil
c) Information, research, and innovation
d) Selling vegetables

21. Which market structure has "One" dominant seller controlling the price?

a) Perfect Competition

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b) Monopolistic Competition
c) Oligopoly
d) Monopoly

22. A market with "Many" firms selling identical products (like wheat/corn) is an example of:

a) Perfect Competition
b) Oligopoly
c) Monopoly
d) Socialism

23. The Law of Demand states that:

a) Price and Quantity demanded are directly related
b) Price and Quantity demanded are inversely related (Price up, Demand down)
c) Supply creates its own demand
d) Price does not affect demand

24. "Capital" in business terms refers to:

a) Only cash money
b) Tools, machinery, equipment, and buildings used for production
c) The city where the business is located
d) The raw material only

25. Which of the following is a characteristic of a "Knowledge Worker"?

a) They only do manual labor
b) They create, distribute, and apply knowledge
c) They do not use technology
d) They work only in agriculture

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MGT211 - Theme 1: History & Introduction (Part 2)

(Covering: Market Structures, Business Cycle, Trade, & Key Concepts)

26. The market structure where there are "Few" large sellers (e.g., Telecom or Airline industry) is called:

a) Monopoly
b) Perfect Competition
c) Oligopoly
d) Sole Proprietorship

27. In which market structure is there "Product Differentiation" (e.g., toothpaste, soaps, restaurants)?

a) Perfect Competition
b) Monopolistic Competition
c) Monopoly
d) Planned Economy

28. "Aids to Trade" include all of the following EXCEPT:

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a) Banking and Insurance
b) Warehousing and Transportation
c) Manufacturing
d) Advertising

29. The phase of the Business Cycle where economic activity is declining and unemployment is rising is called:

a) Expansion
b) Peak
c) Contraction (Recession)
d) Trough

30. The lowest point of the business cycle, after which recovery begins, is known as:

a) Peak
b) Trough
c) Boom
d) Crash

31. "Demand-pull inflation" occurs when:

a) Production costs rise
b) Demand for goods is greater than supply
c) Government reduces taxes
d) Supply is higher than demand

32. Gross Domestic Product (GDP) is defined as:

a) Total tax collected by the government
b) Total profit of all companie
c) Total market value of all final goods and services produced in a country in a year
d) Total exports of a country

33. Which document is considered the "Birth Certificate" of a company?

a) Memorandum of Association
b) Articles of Association
c) Certificate of Incorporation
d) Prospectus

34. The surplus money left after deducting all costs from revenue is called:

a) Capital
b) Profit
c) Asset
d) Liability

35. Ancient Egypt used which river as a major trade route?

a) Indus River

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b) Nile River
c) Tigris River
d) Yellow River

36. The "Double Coincidence of Wants" was a major limitation of which system?

a) Monetary System
b) Barter System
c) Banking System
d) Digital Trade

37. Which Industrial Revolution introduced "Mass Production" and the "Assembly Line"?

a) First
b) Second
c) Third
d) Fourth

38. "Human-machine collaboration" and "Bioengineering" are predicted for which future era?

a) Third Industrial Revolution
b) Fourth Industrial Revolution
c) Fifth Industrial Revolution
d) Stone Age

39. The economic system where the government decides what to produce and how to distribute it (e.g., North Korea) is:

a) Capitalism
b) Mixed Economy
c) Planned Economy (Communism)
d) Free Market

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40. In a "Capitalist" economy, businesses are owned by:

a) The State/Government
b) Private individuals
c) Religious leaders
d) Military

41. "Laissez-faire" or complete freedom of trade is a feature of:

a) Capitalism
b) Socialism
c) Communism
d) Mixed Economy

42. Which factor of production refers to the natural resources used?

a) Labor
b) Capital

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c) Land (Physical Resources)
d) Entrepreneurship

43. The "Law of Supply" states that as price increases:

a) Quantity supplied decreases
b) Quantity supplied increases
c) Demand increases
d) Supply remains constant

44. Advertising, Sales, and Banking are part of:

a) Industry
b) Commerce (Aids to Trade)
c) Primary Sector
d) Extraction

45. "Monetary Policy" is controlled by the government to manage:

a) Taxes and Spending
b) Money supply and Interest rates
c) Exports only
d) Labor laws

46. "Fiscal Policy" involves the government's use of:

a) Interest rates
b) Taxation and Government Spending
c) Printing money
d) Stock market regulations

47. A "Recession" is officially defined as a decline in GDP for:

a) One month
b) One year
c) At least two consecutive quarters (6 months)
d) Five years

48. Which sector includes "Construction" and "Textile production"?

a) Primary
b) Secondary
c) Tertiary
d) Quaternary

49. The "Fourth Industrial Revolution" (Industry 4.0) is characterized by:

a) Steam Engines
b) Electricity
c) Cyber-physical systems (AI, Blockchain, IoT)
d) Computers only

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50. Who are "Stakeholders" in a business?

a) Only the owners
b) Only the customers
c) Anyone affected by the business (Owners, Employees, Customers, Society)
d) Only the government

MGT211 - Theme 2: Entrepreneurship & Ethics

Part A: Entrepreneurship Basics & Traits

1. According to Robert Hisrich, entrepreneurship is the process of creating something new with:

a) No risk
b) Value
c) Unlimited capital
d) Government support

2. Which of the following is NOT a key element of entrepreneurship?

a) Innovation
b) Risk-taking
c) Guaranteed Success
d) Reward (Profit/Independence)

3. An entrepreneur who focuses on introducing new ideas, products, or technologies is called:

a) Imitative Entrepreneur
b) Innovative Entrepreneur
c) Lifestyle Entrepreneur
d) Social Entrepreneur

4. Someone who starts multiple businesses one after another (like Elon Musk) is known as

a) Serial Entrepreneur
b) Small Business Owner
c) Intrapreneur
d) Imitative Entrepreneur

5. "Intrapreneurs" are also known as:

a) Social Entrepreneurs
b) Corporate Entrepreneurs
c) Lifestyle Entrepreneurs
d) Serial Entrepreneurs

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6. Which type of entrepreneur builds a business around personal interests and flexible living (e.g., travel blogger)?

a) Scalable Startup
b) Lifestyle Entrepreneur
c) Technopreneur
d) Imitative Entrepreneur

7. An entrepreneur who adopts existing business models and improves them (e.g., launching a franchise) is:

a) Innovative
b) Imitative
c) Social
d) Technoprene

8. Social Entrepreneurs primarily focus on:

a) Maximizing profit only
b) Solving social or environmental problems
c) Creating high-tech gadgets
d) Selling luxury goods

9. Which trait allows entrepreneurs to keep going despite failure and challenges?

a) Risk aversion
b) Persistence (Hardworking & Committed)
c) Arrogance
d) Luck

10. The ability to see the "big picture" and set long-term goals refers to which characteristic?

a) Technical skill
b) Visionary
c) Imitation
d) Social skill

Part B: Startup vs. Small Business & SMEs

11. What is the main goal of a "Startup"?

a) Stable income
b) Rapid growth and scalability
c) Keeping the business small
d) Local survival only

12. A "Small Business" (like a barber shop or tuition center) focuses on:

a) Global expansion

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b) High innovation
c) Stability and steady income
d) IPO (Stock market launch)

13. In Pakistan, SMEs contribute approximately how much to the GDP?

a) 10%
b) 20%
c) 40%
d) 80%

14. SMEs provide over _____% of non-agricultural employment in Pakistan.

a) 40%
b) 50%
c) 60%
d) 80%

15. Which of the following is NOT a common challenge for SMEs in Pakistan?

a) Limited access to financing
b) Too much capital
c) Poor infrastructure
d) Regulatory burdens

16. SMEs support large industries by acting as:

a) Competitors only
b) Subcontractors and suppliers
c) Regulators d) Banks

17. The startup success rate in Pakistan is estimated to be:

a) Less than 5%
b) Around 50%
c) Over 80%
d) 100%

18. Which of the following is a major cause of business failure?

a) Good record-keeping
b) Strong marketing
c) Lack of planning
d) High innovation

19. "Cash flow problems" usually arise due to:

a) High sales
b) Poor financial management
c) Too many customers
d) Good inventory

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20. SMEs help in poverty reduction by promoting:

a) Imports
b) Self-employment
c) Urban migration
d) Monopoly

Part C: Prophet Muhammad (PBUH) as an Entrepreneur

21. Prophet Muhammad (PBUH) was known by the title "Al-Ameen", which means:

a) The Truthful
b) The Trustworthy
c) The Leader
d) The Trader

22. Before prophethood, Prophet Muhammad (PBUH) managed trade caravans for:

a) Hazrat Abu Bakr (RA)
b) Hazrat Khadijah (RA)
c) Hazrat Umar (RA)
d) Hazrat Usman (RA)

23. The Prophet's (PBUH) business dealings were characterized by:

a) High profits at any cost
b) Honesty and Integrity
c) Hoarding goods
d) Hiding defects

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24. "Pay the worker his wages before his sweat dries." This Hadith emphasizes:

a) Delaying payments
b) Fair and timely payment
c) Reducing wages
d) Ignoring workers

25. According to Hadith, an honest merchant will be raised on the Day of Judgment with:

a) The rich
b) The kings
c) The Prophets, truthful, and martyrs
d) The general public

26. "Whoever hoards is a _____." (Sahih Muslim)

a) Winner
b) Sinner
c) Trader

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d) Leader

27. "He who cheats is not one of us." This saying forbids:

a) Trading
b) Fraud and Deception
c) Profit-making
d) Travelling

28. The Prophet (PBUH) had a "Global Outlook" because he:

a) Stayed only in Makkah
b) Traded across Syria, Yemen, and diverse cultures
c) Only traded with relatives
d) Never travelled

Part D: Business Ethics & Social Responsibility

29. Business ethics refers to:

a) Laws of the country
b) Moral principles guiding business behavior
c) Maximizing profit only
d) Advertising strategies

30. "Transparency" in business means:

a) Hiding secrets
b) Sharing clear and truthful information
c) Not keeping records
d) Ignoring stakeholders

31. "Integrity" means:

a) Acting morally even when it is difficult
b) Making money quickly
c) Avoiding hard work
d) Following competitors

32. Treating customers, employees, and competitors justly is known as:

a) Loyalty
b) Fairness
c) Innovation
d) Aggression

33. Social Responsibility means a business should:

a) Only focus on shareholders

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b) Benefit society and the environment
c) Avoid paying taxes
d) Ignore pollution

34. Which of the following is an unethical business practice?

a) Paying taxes
b) False advertising
c) Fair wages
d) Quality control

35. According to the Quran, "Woe to those who give less [than due]..." refers to:

a) Giving full measure and weight
b) Cheating in measurement/weight
c) Giving charity
d) Trading fairly

36. "Accountability" involves:

a) Blaming others
b) Owning one's actions and consequences
c) Ignoring mistakes
d) Avoiding risks

37. Which factor contributes to building "Trust" in business?

a) Constant lying
b) Consistent ethical behavior
c) Frequent price changes
d) Removing customer service

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Part E: Miscellaneous & Conceptual

38. A risk that an entrepreneur assumes includes:

a) Financial risk only
b) Financial, emotional, and social risks
c) No risk at all
d) Physical risk only

39. "Innovation" in entrepreneurship can be:

a) A new product
b) A new service
c) A new process
d) All of the above

40. Which skill is NOT typically listed as an entrepreneurial trait?

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a) Adaptability
b) Risk-taking
c) Fear of change
d) Self-confidence

41. "Bootstrapping" usually refers to:

a) Wearing boots
b) Starting a business with personal savings/limited funds
c) Getting a huge bank loan
d) Selling the company

42. A "Technopreneur" operates primarily in:

a) Agriculture
b) Technology and AI sectors
c) Textile manufacturing
d) Real estate

43. The "Neolithic Revolution" mentioned in Theme 1 is relevant to business history because it introduced:

a) Computers
b) Agriculture and permanent settlements
c) Space travel
d) Factory lines

44. "Creative Destruction" (a concept often linked to entrepreneurship) implies:

a) Destroying competitors physically
b) New innovations replacing old ways of doing things
c) Breaking laws
d) Reducing quality

45. Which is a "Pull" factor for becoming an entrepreneur?

a) Unemployment
b) Desire for independence
c) Job dissatisfaction
d) Poverty

46. Which is a "Push" factor for becoming an entrepreneur?

a) Spotting a market gap
b) Losing a job
c) Wanting to be rich
d) Passion for a hobby

47. "Crowdfunding" is a method to:

a) Gather people for a protest

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b) Raise small amounts of money from many people online
c) Sell products in a crowd
d) Manage employees

48. Business ethics are important because they:

a) Increase legal risks
b) Improve brand reputation and loyalty
c) Decrease employee morale
d) Reduce profits in the long run

49. Which document is NOT required for a Sole Proprietorship but is key for a Partnership?

a) CNIC
b) Partnership Deed
c) Tax Return
d) Electricity Bill

50. The primary difference between a "Leader" and a "Manager" in entrepreneurship is:

a) Managers inspire, Leaders control
b) Leaders inspire and motivate, Managers organize and control
c) There is no difference
d) Leaders only handle money

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MGT211 - Theme 3: Forms of Business Ownership

Part A: Sole Proprietorship

1. A business owned and operated by one individual with no legal separation between the owner and the business is called:

a) Partnership
b) Joint Stock Company
c) Sole Proprietorship
d) Cooperative Society

2. Which of the following is a major disadvantage of a Sole Proprietorship?

a) Unlimited Liability
b) Double Taxation
c) Profit Sharing
d) Difficult to start

3. In Pakistan, Sole Proprietorships are governed by:

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a) Companies Act 2017
b) Partnership Act 1932
c) No specific separate law (General laws apply)
d) Cooperative Societies Act 1925

4. Who receives all the profits in a Sole Proprietorship?

a) The Government
b) The Shareholders
c) The Owner (Sole Proprietor)
d) The Partners

5. Sole Proprietorship is most suitable for:

a) Large-scale manufacturing
b) Airlines
c) Low-investment startups (e.g., small shops, freelancers)
d) Banks

6. Which document is required for Sole Proprietorship tax registration in Pakistan?

a) Memorandum of Association
b) Partnership Deed
c) NTN (National Tax Number) from FBR
d) Form 29

7. If a Sole Proprietor dies, what usually happens to the business?

a) It continues automatically
b) It is taken over by the government
c) It lacks continuity and may end
d) It becomes a company

8. In a Sole Proprietorship, the owner's liability is:

a) Limited to investment
b) Zero
c) Unlimited (Personal assets are at risk)
d) Shared with government

Part B: Partnership

9. A partnership is defined as a relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all. This definition is from:

a) Companies Act 2017
b) Partnership Act 1932
c) Contract Act 1872
d) Income Tax Ordinance 2001

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10. What is the minimum and maximum number of partners in a partnership firm generally?

a) Min 2, Max 50
b) Min 2, Max 20
c) Min 7, Max Unlimited
d) Min 1, Max 10

11. The written agreement that outlines the terms and conditions of a partnership is called:

a) Articles of Association
b) Prospectus
c) Partnership Deed
d) Certificate of Incorporation

12. In a "General Partnership", the liability of partners is:

a) Limited
b) Unlimited and Joint
c) Zero
d) Restricted

13. "Mutual Agency" in a partnership means:

a) Partners are agents of the government
b) No partner can act for others
c) Any partner can bind the firm and other partners by their actions
d) Partners must work separately

14. A "Partnership at Will" can be dissolved:

a) Only by court order
b) By any partner giving notice at any time
c) Only after 10 years
d) Cannot be dissolved

15. Registration of a Partnership firm in Pakistan is:

a) Mandatory
b) Illegal
c) Optional (but recommended)
d) Only for foreigners

16. Which partner lends their name to the firm but does not invest capital or take part in management?

a) Active Partner
b) Sleeping Partner
c) Nominal Partner
d) Minor Partner

17. A "Sleeping Partner" (Dormant Partner):

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a) Does not share profits
b) Invests capital but does not participate in management
c) Has no liability
d) Does not exist

18. If a partnership deed is NOT formed, how are profits and losses shared?

a) According to capital investment
b) According to age
c) Equally among all partners
d) Senior partner takes all

19. Dissolution of a firm by "Mutual Consent" means:

a) Court orders the closure
b) All partners agree to close the business
c) One partner forces others to leave
d) Business becomes illegal

Part C: Joint Stock Company

20. A Joint Stock Company is governed in Pakistan by:

a) Partnership Act 1932
b) Companies Act 2017
c) Banking Ordinance
d) Labor Laws

21. A company is considered a "Separate Legal Entity". This means:

a) The company and owners are the same
b) The company has its own legal identity distinct from its owners
c) The company cannot be sued
d) The owners pay the company's debts personally

22. The owners of a Joint Stock Company are called:

a) Partners
b) Sole Traders
c) Shareholders
d) Managers

23. In a "Private Limited Company", the number of members ranges from:

a) 2 to 20
b) 2 to 50
c) 7 to Unlimited
d) 1 to 10

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24. Which type of company can offer shares to the general public?

a) Private Limited Company
b) Single Member Company (SMC)
c) Public Limited Company
d) Partnership

25. "Perpetual Succession" means:

a) The company dies with the owner
b) The company continues to exist even if members die or leave
c) The company can only last for 10 years
d) The company must change its name every year

26. The liability of a shareholder in a limited company is limited to:

a) Their personal assets
b) The face value of shares they hold (Investment)
c) Unlimited amount
d) The company's total debt

27. A "Single Member Company" (SMC) allows:

a) Single ownership with unlimited liability
b) Single ownership with limited liability
c) Multiple owners
d) No registration

Part D: Company Documents & Meetings

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28. Which document defines the "Objectives and Scope" of the company (Relationship with outside world)?

a) Articles of Association (AOA)
b) Memorandum of Association (MOA)
c) Prospectus
d) Minute Book

29. The document containing internal rules and regulations (e.g., powers of directors) is:

a) Memorandum of Association
b) Articles of Association (AOA)
c) Certification of commencement
d) Form 29

30. The "Statutory Meeting" must be held by a Public Company within how many months of incorporation?

a) 1 month

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b) 3 to 6 months
c) 12 months
d) 5 years

31. An "Annual General Meeting" (AGM) must be held:

a) Once every month
b) Once every calendar year
c) Only when the company is closing
d) Every 5 years

32. Who elects the Board of Directors?

a) Employees
b) Government
c) Shareholders
d) Customers

33. "Winding Up" of a company refers to:

a) Starting the company
b) Expanding the company
c) The legal process of closing/dissolving the company
d) Hiring new staff

Part E: Specialized Forms & M&A

34. A "Cooperative Society" is primarily formed for:

a) Maximizing profit for investors
b) Mutual benefit of its members
c) Government contro
d) Exploiting customers

35. A temporary **partnership formed for a specific project (e.g., building a dam) is called:**

a) Joint Venture (JV)
b) Merger
c) Franchise
d) Sole Proprietorship

36. Which business model involves using an established brand name and system (e.g., McDonald's, KFC)?

a) Cooperative
b) Franchise
c) Joint Venture
d) Public Company

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37. A "Non-Profit Company" in Pakistan is registered under which section of the Companies Act 2017?

a) Section 42
b) Section 20
c) Section 100
d) Section 1

38. When two companies combine to form a NEW entity (A + B = C), it is called:

a) Acquisition
b) Merger
c) Joint Venture
d) Franchise

39. When one company buys another company (A buys B), it is called:

a) Merger
b) Acquisition
c) Partnership
d) Startup

40. A merger between two companies in the *same* industry (e.g., Jazz and Warid) is a:

a) Vertical Merger
b) Horizontal Merger
c) Conglomerate Merger
d) Product Extension

41. The "Securities and Exchange Commission of Pakistan" (SECP) regulates:

a) Sole Proprietorships only
b) Partnerships only
c) Companies and Corporate Sector
d) Mosques

42. Which sector acts as a backbone for Pakistan's economy but faces challenges like limited finance?

a) Large Corporations
b) SMEs (Small and Medium Enterprises)
c) Foreign Banks
d) Oil Companies

43. "Double Taxation" is a disadvantage of:

a) Sole Proprietorship
b) Partnership
c) Joint Stock Company
d) Cooperative

44. In a Partnership Deed, if the profit ratio is NOT mentioned, it is assumed to be:

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a) 50-50 (Equal)
b) 70-30
c) Based on effort
d) Based on education

45. The "Registrar of Firms" is responsible for registering:

a) Companies
b) Partnerships
c) NGOs
d) Universities

46. A major advantage of a Company over a Partnership is:

a) Secrecy
b) Easy formation
c) Transferability of shares
d) Less regulations

47. Which of the following is an "Aid to Trade"?

a) Mining
b) Insurance
c) Farming
d) Fishing

48. "Limited Liability Partnership (LLP)" is a hybrid of:

a) Sole Proprietorship and Company
b) Partnership and Company
c) NGO and Government
d) Franchise and Cooperative

49. In M&A, "Due Diligence" refers to:

a) Signing the contract blindly
b) Investigating financial and legal aspects before the deal
c) Paying the money immediately
d) Firing employees

50. Which form of business has the "Most Secrecy"?

a) Public Limited Company
b) Sole Proprietorship
c) Partnership
d) Joint Venture

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